

4-1b What Is Competition?

The market for ice cream, like most markets in the economy, is highly competitive. Each buyer knows that there are several sellers from which to choose, and each seller is aware that his product is similar to that offered by other sellers. As a result, the price and quantity of ice cream sold are not determined by any single buyer or seller. Rather, price and quantity are determined by all buyers and sellers as they interact in the marketplace.

Economists use the term **competitive market** to describe a market in which there are so many buyers and so many sellers that each has a negligible impact on the market price. Each seller of ice cream has limited control over the price because other sellers are offering similar products. A seller has little reason to charge less than the going price, and if he charges more, buyers will make their purchases elsewhere. Similarly, no single buyer of ice cream can influence the price of ice cream because each buyer purchases only a small amount.

In this chapter, we assume that markets are *perfectly competitive*. To reach this highest form of competition, a market must have two characteristics:

1. The goods offered for sale are all exactly the same, and
2. the buyers and sellers are so numerous that no single buyer or seller has any influence over the market price.

Because buyers and sellers in perfectly competitive markets must accept the price the market determines, they are said to be *price takers*. At the market price, buyers can buy all they want, and sellers can sell all they want.

There are some markets in which the assumption of perfect competition applies perfectly. In the wheat market, for example, there are thousands of farmers who sell wheat and millions of consumers who use wheat and wheat products. Because no single buyer or seller can influence the price of wheat, each takes the market price as given.

Not all goods and services, however, are sold in perfectly competitive markets. Some markets have only one seller, and this seller sets the price. Such a market is called a *monopoly*. Local cable television, for instance, is a monopoly if residents of the town have only one company from which to buy cable service. Many other markets fall between the extremes of perfect competition and monopoly.

Despite the diversity of market types we find in the world, assuming perfect competition is a useful simplification and a natural place to start. Perfectly competitive markets are the easiest to analyze because everyone participating in them takes the price as given by

market conditions. Moreover, because some degree of competition is present in most markets, many of the lessons that we learn by studying supply and demand under perfect competition apply to more complex markets as well.

QuickQuiz

1. The best definition of a market is
 - a. a store that offers a variety of goods and services.
 - b. a place where buyers meet and an auctioneer calls out prices.
 - c. a group of buyers and sellers of a good or service.
 - d. a venue where the sole supplier of a good offers its product.

2. In a perfectly competitive market,
 - a. every seller tries to distinguish itself by offering a better product than its rivals.
 - b. every seller takes the price of its product as set by market conditions.
 - c. every seller tries to undercut the prices charged by its rivals.
 - d. one seller has successfully outcompeted its rivals so no other sellers remain.

3. The market for which product best fits the definition of a perfectly competitive market?
 - a. eggs
 - b. tap water
 - c. movies
 - d. computer operating systems

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